Swiss GDP Outlook 2025–2027

Non-technical report for decision makers

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Although exposed to higher US tariffs and a weakening global economy, Switzerland is more likely to experience weak but still positive growth between 2025 and 2027 rather than a deep recession. Our internal estimations of 1.36% in 2025, 1.07% in 2026 and 1.91% in 2027 support a gradual return toward trend growth as global uncertainty fades and external conditions stabilise.

As a small open economy, Switzerland depends heavily on global demand from its main trading partners, which makes weaker external conditions the primary driver of the current slowdown. Switzerland has one of the most open economies in the world. According to OECD data, gross exports of goods and services are equivalent to around three-quarters of GDP. Recent figures also indicate that weaker foreign demand is already weighing on Swiss economic activity. Higher US tariffs on Swiss exports and a softer global environment have contributed to declining order volumes, particularly in machinery, watchmaking and parts of the pharmaceutical sector. Given Switzerland's strong dependence on demand from its main trading partners, weaker external GDP mechanically translates into lower Swiss growth through the export channel. A light global demand deceleration since mid-2024 explains the weakness projected for 2025 and 2026. Furthermore, the direct exposure of Switzerland to the new US tariffs is relatively limited. The US currently accounts for about 18% of Swiss exports, but the new tariffs only hit a small part of this trade because many key products, such as pharmaceuticals, remain exempt. Overall, US trade barriers on Swiss goods remain low, and the new 15% cap further limits their impact. This helps explain why our central scenario is one of slow but positive growth, rather than a prolonged deterioration of Switzerland's economy.

Uncertainty surrounding global conditions and future US tariff decisions remains high, yet Switzerland has historically shown strong resilience to external shocks and typically recovers once conditions stabilise. The policy outlook remains uncertain. If US tariffs on Swiss exports were to rise again to 39%, this would weigh on external demand and aggravate Switzerland's slowdown. Conversely, a reduction or cancellation of the tariffs would ease the trade burden and support Swiss economic activity. Despite the prevailing uncertainty, Switzerland has repeatedly exhibited resilience. In the context of previous economic downturns, particularly the Global financial crisis and the COVID-19 Pandemic, Switzerland demonstrated a comparatively superior resilience in terms of GDP and unemployment rates than most OECD economies[1].Switzerland's recent economic experience reinforces this interpretation, as the economy has repeatedly demonstrated an ability to absorb and recover from global shocks. The rebound forecast for 2027 reflects this pattern: it represents a gradual normalisation rather than a new expansion phase.

[1]OECD (2024). *Strengthening Economic Resilience Within Global Value Chains In Switzerland*. OECD Publishing, Erik Frohm.

Domestic demand, which represents roughly half of Swiss GDP, continues to cushion the impact of external weakness thanks to low inflation, stable employment and resilient private consumption. According to World Bank and SNB data, households final consumption expenditure accounts for about 50% of Swiss GDP, and remains supported by low inflation and a labour market that is cooling gradually, with unemployment still close to 3%. Household purchasing power remains broadly stable, while business investment has slightly weakened but remains far from collapse[2]. These domestic anchors help to prevent a deeper downturn, and are consistent with our baseline forecast of a slowdown rather than a prolonged deceleration, with resilient domestic demand as a key pillar of the positive growth expected in our central scenario.

Under the central scenario, the outlook does not call for broad policy intervention. However, policymakers should be ready to activate temporary and targeted support if downside risks materialise. Growth is expected to remain weak but positive, suggesting that large non-targeted fiscal or monetary stimulus would be premature. In the event of a sharp deterioration in external demand or a renewed increase in tariffs, measures similar to those used during the COVID-19 period could be mobilised. This could include extending short-time work compensation schemes to preserve employment, alongside limited and temporary support for the most exposed export-oriented industries.

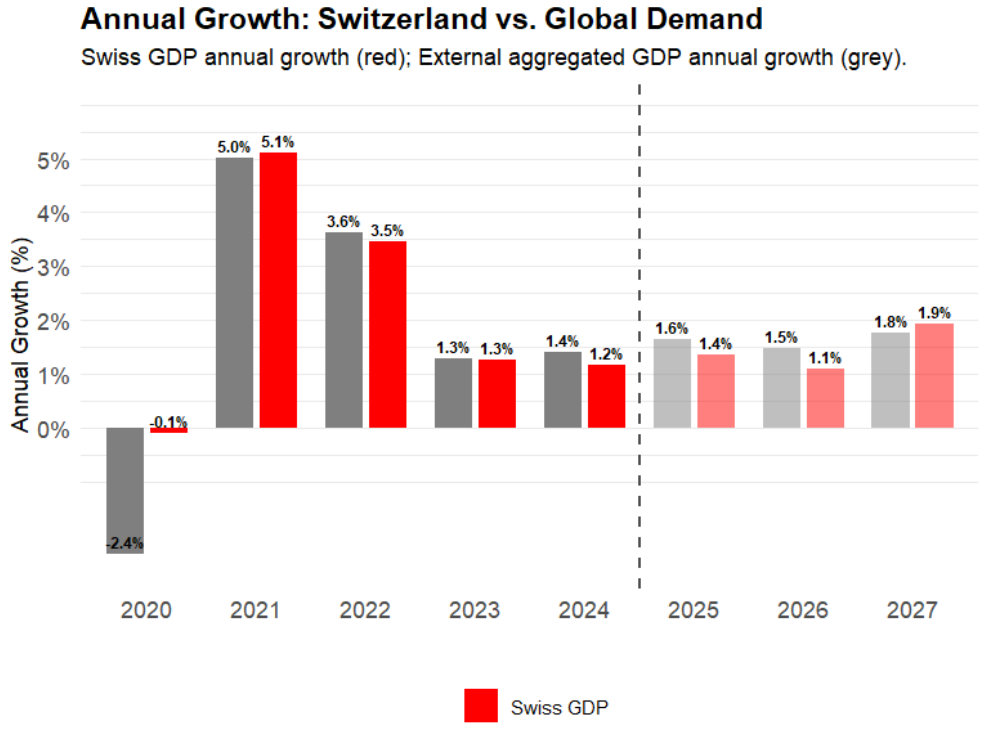


Figure 1: **Swiss GDP Growth and Global Demand, 2020–2027.** The red bars show Swiss GDP annual growth, while the grey bars represent aggregated external GDP growth from Switzerland's main trading partners. The dashed vertical line marks the beginning of the forecast period. *Source: Authors' calculations based on SECO and FRED data.*

[2]Swiss Economic Institute KOF (12-2024). *Subdued European economy weighing on Swiss prospects.*

References

KOF, Swiss Economic Institute (12-2024). *Subdued European economy weighing on Swiss prospects*.

OECD (2024). *Strengthening Economic Resilience Within Global Value Chains In Switzerland*. OECD Publishing, Erik Frohm.